

PREMIER LEAGUE TEAMS AND FINANCIAL TROUBLE: A GROWING CONCERN?

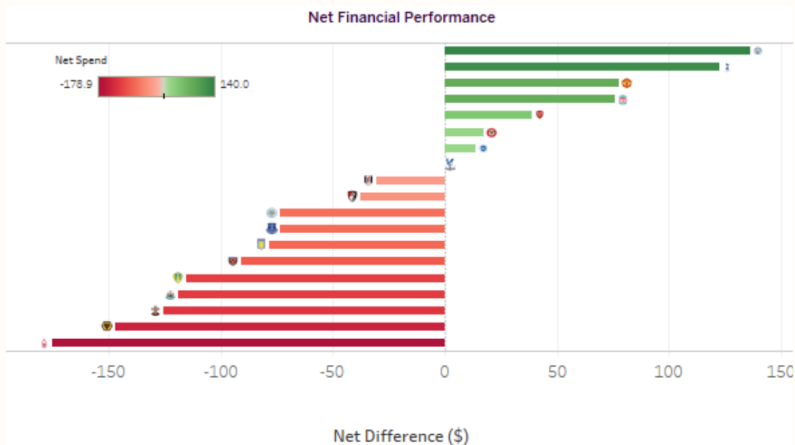
To the Chief Financial Officers of
Premier League Clubs:

December 10th 2024

The Premier League, celebrated for its global appeal and competitive nature, is increasingly burdened by financial instability. Many clubs are spending far beyond their means, risking penalties under the league's Profitability and Sustainability Rules (PSR), which cap losses at £105 million over three years. Recent breaches illustrate the dangers:

- **Everton:** A 10-point deduction in November 2024 dropped them into the relegation zone after years of overspending. Although they didn't get relegated they were one place off relegation fighting down to the last day.
- **Nottingham Forest:** In October 2024, Forest faced a 4-point deduction for failing to align spending with revenues, despite heavy transfer investments.

Based on the graph while spending often drives success, smaller clubs face greater challenges balancing competitiveness with financial compliance. Larger clubs like Manchester City leverage vast revenue streams to try and avoid breaches while still spending aggressively, but even they have faced scrutiny for financial practices. Without reforms to support financial parity, the Premier League risks growing inequality, leaving smaller clubs vulnerable to penalties and potential bankruptcy. This hurts everyone involved with the club and there are ways that this can be avoided.



What you should do.

- **Focus on Value:** Prioritize scouting and data analytics to find undervalued players with growth potential or resale value, rather than chasing expensive stars.
- **Wage Caps:** Implement reasonable wage caps based on performance metrics to control inflation and ensure financial stability.
- **Invest in the Academy:** Develop homegrown talent through a strong youth system to reduce transfer costs and wage bills while fostering loyalty.